

**THE HONG KONG POLYTECHNIC UNIVERSITY
SCHOOL OF ACCOUNTING AND FINANCE**

Final Examination

Programme : BBA (Hons) Accountancy
 BBA (Hons) Accounting and Finance
 BBA (Hons) Financial Services
 BBA (Hons) Global Supply Chain Management
 BBA (Hons) International Shipping and Transport Logistics
 BBA (Hons) Management
 BBA (Hons) Marketing
 BBA (Hons) Supply Chain Management & Analytics
 BSc (Hons) Financial Technology & Artificial Intelligence

Subject : Financial Accounting (AF2108)

Date : 9 December 2022

Time : 3:15 p.m. – 6:15 p.m.

Time Allowed : 3 hours

Session : 2022/2023 (Semester One)

This question paper has **13** pages including this page.

Instructions to Candidates:

1. Answer **ALL** questions
2. Total marks: 100
3. You must submit this question paper together with the answer book at the end of the examination. **Please ensure your seat number, tutorial number, tutor name, student name and student number are entered properly on both the exam paper and the answer book, otherwise, 10 marks will be deducted.**
4. **NO pencil is allowed. If pencil is used, 10 marks will be deducted and your paper will not be available for your access after the examination.**
5. Silent and non-programmable calculator is allowed.
6. **This is a closed book examination.**

DO NOT TURN OVER THE PAPER UNTIL YOU ARE TOLD TO DO SO.

Student Number: _____

Student Name: _____

Tutorial Group: _____

Seat Number: _____

Section A**Question 1 (20 marks)**

Innovative Toys Corporation engages in wholesaling and retailing of children toys and books in Hong Kong.

Condensed statements of financial position and income statements for Innovative Toys Corporation are as follows:

Innovative Toys Corporation
Statement of Financial Position
31 December

	2021	2020	2019
	\$	\$	\$
Plant and equipment (net)	716,000	720,000	760,000
Intangible Assets	440,000	420,000	432,000
Short Term Investments	369,000	189,000	200,000
Prepaid Insurance (less than 12 months)	6,000	5,500	5,000
Inventory	151,000	149,000	140,000
Accounts receivables (net)	88,000	80,000	68,000
Cash	136,000	125,500	123,000
	<u>1,906,000</u>	<u>1,689,000</u>	<u>1,728,000</u>
Accounts Payable	120,000	228,000	370,000
Salaries Payable and other current liabilities	22,000	22,000	36,000
Long-term debt (due in five years)	181,000	115,000	150,000
Ordinary shares, \$10 par	400,000	360,000	360,000
Retained earnings	<u>1,183,000</u>	<u>964,000</u>	<u>812,000</u>
	<u>1,906,000</u>	<u>1,689,000</u>	<u>1,728,000</u>

Innovative Toys Corporation
Income Statements
For the year ended 31 December

	2021	2020
	\$	\$
Gross Sales	990,000	949,000
Less: Sales allowances	10,000	15,000
Net sales	980,000	934,000
Less: Cost of goods sold	458,000	460,000
Gross profit	522,000	474,000
Operating expenses	192,000	188,000
Less: Interest expense	21,000	21,000
Less: Income tax	24,000	25,000
Net income	285,000	240,000
Beginning Retained Earnings	964,000	812,000
Dividend	66,000	88,000
Ending Retained Earnings	1,183,000	964,000

Required: Provide the answers for items [A] to [T].

	2021	2020
a) Current Ratio	[A]times	[B]times
b) Accounts Receivable Turnover	[C] times	[D] times
c) Return on assets	[E] %	[F] %
d) Dividend Pay-out Ratio	[G]%	[H]%
e) Time interest earned ratio	[I]times	[J] times
f) Debt to total assets ratio	[K]%	[L]%

g) By using horizontal analysis, there was increase of net sales by [M] % from 2020 to 2021

For the following questions, please state year 2021 or 2020.

h) The company had a shorter average-days to collect accounts receivable period in year [N].

i) The company is more efficient at managing its assets to generate profits in year [O].

j) The company retained higher % of net income for expansion by tightening dividend pay-out policy in year [P].

k) The company used more equity to finance assets in year [Q].

l) The company had a stronger ability to meet interest payments in year [R].

m) The company had a better position to pay off the short-term liabilities in year [S].

n) By using vertical analysis, the company had better control of the operating expenses in year [T].

Section B**Question 2 (20 marks)**

Grand Corporation
 Statements of Financial Position
 31 December 2021

		2021		2020
	\$	\$	\$	\$
Property, plant and equipment				
Plant	2,850,000		2,190,000	
Less: Acc. Depreciation-plant	<u>975,000</u>	1,875,000	<u>852,000</u>	1,338,000
Equipment	337,000		210,000	
Less: Acc. Depreciation-equipment	<u>58,000</u>	279,000	<u>28,000</u>	182,000
Current assets				
Merchandise inventory	377,000		324,000	
Accounts receivable, net	362,000		360,000	
Cash and cash equivalents	<u>43,000</u>		<u>22,000</u>	
		782,000		706,000
		<u>2,936,000</u>		<u>2,226,000</u>
Equity				
Share capital, ordinary at \$1 par	800,000		600,000	
Share premium, ordinary	440,000		200,000	
Share premium, treasury	12,000		0	
Retained earnings	960,000		704,000	
Less: Treasury shares	<u>240,000</u>		<u>0</u>	
Total equity		1,972,000		1,504,000
Non-current liabilities				
8% bonds payable		540,000		400,000
Current liabilities				
Accounts payable	213,000		182,000	
Accrued liabilities	47,000		52,000	
Income taxes payable	18,000		10,000	
Dividends payable	<u>146,000</u>		<u>78,000</u>	
		424,000		322,000
Total liabilities		<u>964,000</u>		<u>722,000</u>
Total equity and liabilities		<u>2,936,000</u>		<u>2,226,000</u>

Additional information

- i) Sold plant that cost \$250,000 with accumulated depreciation of \$169,000 for \$54,000.
- ii) Sold equipment that cost \$76,000 and a book value at the date of disposal of \$63,000 for \$89,000.
- iii) Interest on all bonds was paid on 30 June and 31 December each year.
 - \$130,000 of the 8% bonds was redeemed at face value on 31 December 2021.
 - Issued \$270,000 at face value of the 8% bonds for purchase of plant assets.
- iv) The company issued additional ordinary shares on 1 February 2021.
- v) On 1 July 2021, the company bought some treasury shares at cost of \$4 each share.
 - 20,000 treasury shares were sold for \$92,000 in the same month.
- vi) An interim dividend of 20 cents (\$0.20) per share was paid on 1 August 2021 to holders of all the shares outstanding at that date.
- vii) There is no outstanding dividend payable related to the year ended 31 December 2020.

Required: Prepare the statement of cashflows for the year ended 31 December 2021

Section C**Question 3 (10 marks)**

Smart Watch, Inc ("SWI")		
Unadjusted Trial Balance		
As at 31 March 2022		
	Dr	Cr
	\$	\$
Accounts Payable		150,000
Accounts Receivable	280,000	
Accumulated Depreciation – Building		500,000
Accumulated Depreciation -Equipment		400,000
Allowance for Doubtful Accounts	6,000	
Bad Debt Expense	-	
Building	6,000,000	
Cash	660,000	
Depreciation Expense – Building	-	
Depreciation Expense – Equipment	-	
Dividends Payable		350,000
Equipment	660,000	
Freight-in	500	
Freight-out	600	
Insurance Expense	-	
Interest Expense	-	
Interest Payable		-
Interest Receivable	-	
Interest Revenue		-
Long-term Investment	2,400,000	
Gain/ Loss on Disposal	6,380	
Merchandise Inventory	732,000	
Miscellaneous Expense	-	
Notes Payable		180,000
Notes Receivable	220,000	
Ordinary Share Dividends Distributable		-
Prepaid Insurance	2,400	
Purchase Discounts		3,800
Purchase Returns and Allowances		1,700
Purchases	200,000	
Retained Earnings		475,380
Salaries Expense	48,000	
Salaries Payable		-
Sales Returns and Allowances	1,000	

Sales Revenue		480,000
Share Capital – Ordinary		4,400,000
Share Capital – Preference		3,000,000
Share Premium – Ordinary		1,000,000
Share Premium – Preference		200,000
Share Premium – Treasury		-
Supplies	9,000	
Supplies Expense	-	
Treasury Shares	45,000	
Unearned Revenue		130,000
Utilities Expense	-	
	XXXXXXXX	XXXXXXXX

The following information is available on 31 March 2022 for preparation of adjusting entries:

- (a) Physical count showed that \$4,100 of supplies remained on hand.
- (b) All employees worked for the whole month of March. The employees have a total salary of \$30,000 for a five-day work week.

All employees work a five-day week and **are paid every four weeks** on the following Wednesday, based on the number of days they have worked in the last four weeks.

Last payment day was on 11 March 2022 (Friday). SWI paid \$120,000 (\$30,000 x 4) for salary up to 10 March 2022 (Thursday). Employees are entitled to full pay on public holidays but not on Saturdays and Sundays.

- (c) (i) Building and (ii) equipment are recorded at historical cost and their estimated useful lives are 50 years and 5 years respectively. No residual value is expected for the building. The building was acquired on 1 January 2018. The company uses straight-line method for all buildings. All the equipment is acquired on 1 January 2019. The company uses unit of activity method to depreciate equipment. The company expects that the salvage value of the equipment is 10 % of the purchase cost. The equipment is for packing and the total amount of packing for 5 years are estimated to be 540,000 units. The total packing in March amounted to 10,000 units.
- (d) Electricity incurred for the month amounted to \$5,100.
- (e) Physical count showed that \$688,000 of merchandise inventory remained on hand at 31 March 2022.
- (f) The prepaid insurance was paid in January 2022 covering a 12-month

general insurance from 1 January 2022 to 31 December, 2022.

- (g) Allowance for bad debt is estimated based on 10% of the closing accounts receivable balance due to dramatical down turn of the economy.

- (h) Recognize interest expense for the month.

(Information of the notes payable: On 15 March 2022, SWI purchased \$180,000 inventory by signing a 90-day, 5% notes payable.)

- (i) Recognize interest revenue for the month.

(Information of the notes receivable: King Company Limited, a customer, has financial difficulties and was unable to pay the outstanding balance of \$220,000 due on 16 March 2022. SWI has a long-term relationship with King, and agreed to accept a 12%, 90-day note from the customer to settle the outstanding balance.)

Smart Watch, Inc (“SWI”) is a well establish watch trading company which **adopts the periodic inventory system**. SWI prepares its financial statements on a monthly basis.

Required:

Journalize the adjusting entries for the information (a) to (i) for the month of March at 31 March 2022. Leave the space blank if no entry is required. All the accounts in the chart of accounts are listed in the Unadjusted Trial Balance provided. No Explanation is required.

Question 4 (10 marks)

J. Fan, a former professional tennis star, operates Fan's Tennis Shop at the Yellow River Resort.

Fan's Tennis Shop is using a perpetual inventory system.

At the beginning of 1 April, the ledger of Fan's Tennis Shop showed Cash \$4,200, Accounts Receivable \$3,800, Merchandise Inventory \$2,900, Accounts Payable \$4,800, Share Capital-Ordinary \$4,200 and Retained Earnings \$1,900.

The following transactions were completed during April.

4 April: Purchased racquets and balls from a new supplier, Fitman Co., \$3000, FOB shipping point, terms 6/10, n/30.

6 April: Paid freight on purchase from Fitman Co. \$100.

On 7 April:

The balance of the Merchandise Inventory account was \$ [A].

The balance of Cash account was \$[B]

The balance of the Accounts Payable account was \$ [C].

10 April: Received credit of \$300 from Fitman Co. for a racquet that was returned.

14 April: Paid Fitman Co. in full.

On 15 April:

The balance of the Merchandise Inventory account \$ [D].

The balance of Cash account was \$[E]

The balance of the Accounts Payable account was \$ [F].

16 April: Half (50%) of the goods purchased from Fitman Co was sold for \$2,800 to ABC Ltd. ABC Ltd paid \$1,000, the remaining amount is on account.

On 17 April:

The balance of the Merchandise Inventory account was \$ [G].

The balance of Cash account was \$[H]

The balance of the Accounts Payable account was \$ [I].

The balance of Accounts Receivable was \$[J].

Required: Provide the answers for items [A] to [J].

Question 5 (10 marks)

The following are the account balances of JW Corporation as at 1 January 2021

	\$
Share Capital -Preference (6%, \$100 par, non-cumulative, 5,000 shares authorized)	400,000
Share Capital -Ordinary (\$5 par value, 300,000 shares authorized)	1,000,000
Share Premium - Preference	20,000
Share Premium - Ordinary	200,000
Share Premium - Treasury	2,000
Retained Earnings	200,000
Treasury Shares-Ordinary (5,000 shares)	40,000

The following transactions were completed during the year ended 31 December 2021

Cash dividend for ordinary shares was declared and paid in February 2021 of \$0.2 per share. The total amount of dividend paid for ordinary shares was \$[A].

2,000 treasury shares were sold for \$18,000 on 31 March 2021, the Share Premium-Treasury account balance at the end of 31 March 2021 was \$[B].

1,000 treasury shares were sold for \$8,000 on 30 April 2021, Share Premium -Treasury account balance at the end of 30 April 2021 was \$ [C]. The retained earnings at the end of 30 April 2021 was \$ [D].

2,000 treasury shares were sold for \$ 8,000 on 31 May 2021, Treasury Shares-Ordinary account balance at the end of 31 May 2021 was \$ [E]. The Retained Earnings at the end of 31 May 2021 was \$ [F].

The total dividend for all the preference shares for the year was \$ [G]. The dividend is declared and paid on 30 September 2021.

The account balance of Share Capital-Ordinary at 31 December 2021 was \$1,200,000 and Share Premium-Ordinary was \$210,000.

The number of ordinary shares issued in year 2021 was [H], the issuing price per share was \$[I] and the total cash proceeds from issue of shares were \$ [J] if all the shares were issued for cash.

(Assumption: no other equity transactions took place)

Required: Provide the answers for items [A] to [J].

Question 6 (10 marks)

Color Fashion, Inc (“CFI”) is a well establish toys trading company which adopts the periodic system.

CFI prepares its financial statements on a monthly basis.

The balances of the adjusted trial balance items of CFI as at 30 September 20x1 are listed as follows

	\$	
Accounts Payable	228,000	
Accounts Receivable	332,000	
Accumulated Depreciation – Building	661,000	
Accumulated Depreciation – Equipment	345,000	
Accumulated Depreciation – Motor vehicle	124,000	
Allowance for Doubtful Accounts	27,100	
Bad Debt Expense	24,500	
Building	5,000,000	
Cash	588,900	
Depreciation Expense – Building	33,000	
Depreciation Expense – Equipment	24,000	
Depreciation Expense – Motor Vehicle	18,000	
Dividends Payable	210,000	
Equipment	880,000	
Freight-in	1200	
Freight-out	1800	
Insurance Expense	24,000	
Interest Expense	600	
Interest Payable	600	
Interest Receivable	1,000	
Interest Revenue	1,000	
Long-term Investment	2,000,000	
Loss on Disposal	8,000	
Merchandise Inventory	400,000	
Motor Vehicle	900,000	
Notes Payable (due in 3 months)	120,000	
Notes Receivable (due in 3 months)	180,000	
Prepaid Insurance	4,800	
Purchase Discounts	1000	
Purchase Returns and Allowances	3,000	
Purchases	500,000	
Retained Earnings	1,578,100	
Salaries Expense	120,000	
Salaries Payable	13,000	
Sales Returns and Allowances	11000	
Sales Revenue	580,000	
Share Capital – Ordinary	5,500,000	
Share Capital – Preference	500,000	
To be continued.....		

Share Premium – Ordinary	1,000,000	
Share Premium – Preference	200,000	
Supplies	2,000	
Supplies Expense	9,000	
Treasury Shares	42,000	
Unearned Rent Revenue	20,000	
Utilities Expense	6,000	

The cost of closing inventory as at 30 September 20X1 is \$600,000.

Required:

Apply the balances provided in the adjusted trial balance items table to calculate the following 16 items from A to P

Followings are selected items from the income statement	
for the month ended 30 September 20x1	\$
Net Sales	[A]
Cost of Good Purchased	[B]
Cost of Goods Available for Sale	[C]
Cost of Goods Sold	[D]
Gross Profit	[E]
Total Operating Expense	[F]
Operating Profit	[G]
Net Income	[H]
Following is a selected item from retained earnings statement	
for the month ended 30 September 20x1	
	\$
Ending Retained Earnings	[I]
Following are selected items from the statement of financial position	
as at 30 September 20x1	
	\$
Property Plant and Equipment (net book value)	[J]
Long Term Investment	[K]
Current Assets	[L]
Total Assets	[M]
Current Liabilities	[N]
Equity	[O]
Total Liabilities & Equity	[P]

Section D

Question 7 (20 marks)

Discuss the costs and benefits of application of advanced technologies on the accounting function of a company.

- End -